



Construction Payment Timing Diagnostic

Illustrative example prepared by Monochrome Compliance

1. Purpose of this diagnostic

Construction reporting environments are structurally different.

Progress claims, certifications, retentions and end-of-month contractual structures can materially influence reported Payment Times performance — even when contractual and statutory obligations are being met in full.

This diagnostic is designed to:

- Separate mechanical timing effects from payment behaviour
- Identify structural drivers that may suppress reported outcomes
- Provide executive-level clarity before submission

The objective is not to “improve optics,” but to ensure that published metrics accurately reflect the operating framework of the organisation.

2. Dataset snapshot (illustrative)

- Reporting period: 1 July – 31 December
- Sample size reviewed: 124 transactions
- Entity type: Multi-state construction group
- Declared terms: 30 days
- Payment run frequency: Weekly

This example uses a limited dataset to demonstrate methodology and outcome structure.

3. Reported vs Mechanically Adjusted Outcome

Metric	Reported	Mechanically Adjusted
% Paid Within Term	38%	52%
Median days to pay	46 days	39 days
P80	61 days	54 days

What changed?

- No supplier terms changed.
- No payment behaviour changed.
- No acceleration of payments occurred.

Only the interpretation of timing mechanics was adjusted to align more closely with contractual and statutory realities.

This distinction is critical when framing board commentary and regulatory narrative.

4. Primary structural drivers identified

Structural Driver	Impact on Reported Outcome
End-of-Month terms	Extends effective elapsed time by 8–12 days
Claim vs. Invoice Date	Artificial lag created by misaligned clock
Weekly Run Cut-Off	Delays recorded despite compliant scheduling
Retention Releases	Inflates P80/P95 distribution tail

5. Executive interpretation

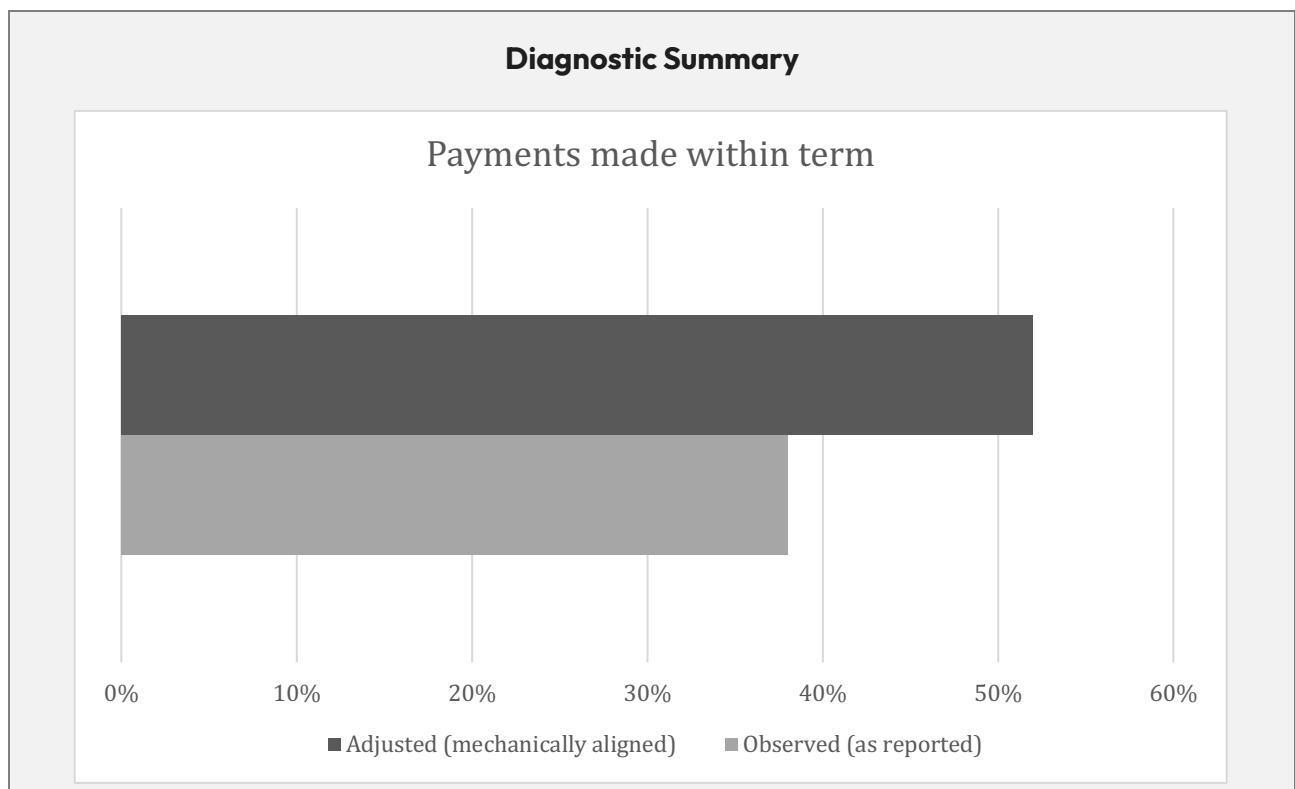
The reported result suggested weak payment performance.

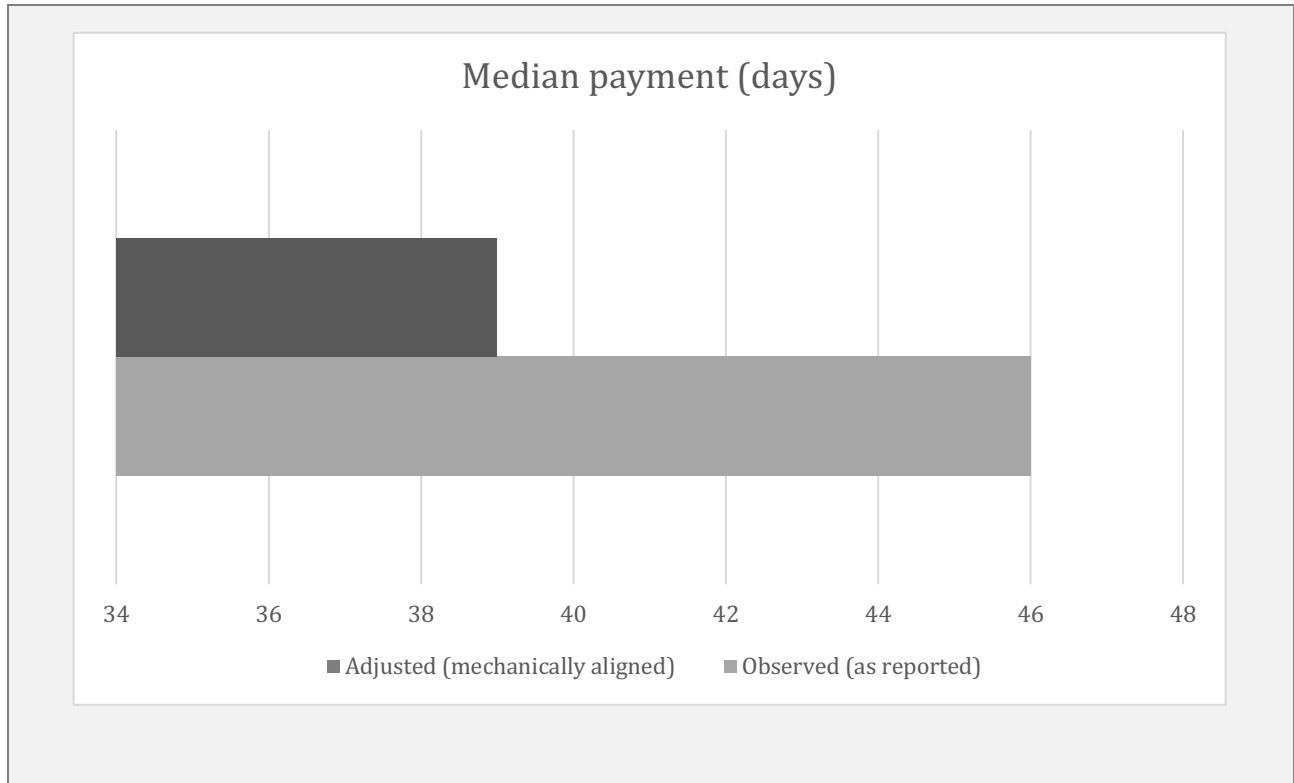
The diagnostic indicated:

- Alignment with contractual commitments
- Compliance with Security of Payment requirements
- A structural reporting misalignment, rather than behavioural deterioration

This nuance materially affects reputational exposure, regulatory positioning and board interpretation of results.

Conclusion: Structural timing interpretation materially influences published outcome.





6. Recommended actions

1. Confirm correct date-field hierarchy (claim vs invoice vs certification).
2. Validate end-of-month term treatment within calculation logic.
3. Review retention classification methodology.
4. Document calculation rationale to support defensibility.

Estimated implementation effort: Low to moderate

Potential impact on reported metrics: Moderate to material

7. Methodology overview

The objective is clarity, not system overhaul. The diagnostic typically follows four steps:

Review of contractual structure	Assessment of declared terms against contractual mechanics and statutory requirements
Mapping of operational payment workflow	Understanding certification, assessment and payment run timing
Limited-scope data extraction	Targeted review of 50–150 representative transactions
Comparative outcome modelling	Alignment testing between contractual mechanics and reported metrics

About Monochrome Compliance

Monochrome Compliance provides independent payment behaviour advisory and reporting oversight to large reporting entities.

We work with finance and leadership teams to ensure payment performance is understood early, interpreted correctly and presented confidently. Our focus is not only on regulatory compliance, but on protecting organisational narrative, reputational exposure and governance clarity.

Through structured monitoring and targeted diagnostics, we identify emerging drift, concentration exposure and structural misalignment before they become reporting issues. Where required, we support precise intervention — without unnecessary system overhaul or operational disruption.

Our approach is measured, analytical and commercially grounded. We aim to provide calm oversight in environments where payment performance carries regulatory, reputational and stakeholder consequences.

Focus areas include:

- Payment Behaviour Monitoring & Advisory
- Payment Times Reporting (PTRS) oversight
- Structural timing interpretation and alignment
- Concentration and exposure analysis
- Reporting defensibility and narrative positioning

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